

IT IS CALLED fatal attraction. A bug is attracted to a light source even though it could be the death of it. Among humans, it is often the thrill of doing something dangerous. For instance, some people indulge in death-defying stunts; some undertake perilous expeditions; some have addictions that are injurious to health; and some gamble away their financial future.

What else explains the fact that there has been no let-up in the popularity of Futures & Options (F&O) trading in India despite investors being met with a blunt warning when they log into their trading accounts? The warning goes: “90% of people are making losses in Futures & Options trading. The average loss is ₹50,000 per client.” It is reminiscent of the health advisories on cigarette packs. And like cigarettes, F&O trading can be addictive, when investors, like smokers, disregard the warning, which could lead to financial ruin.

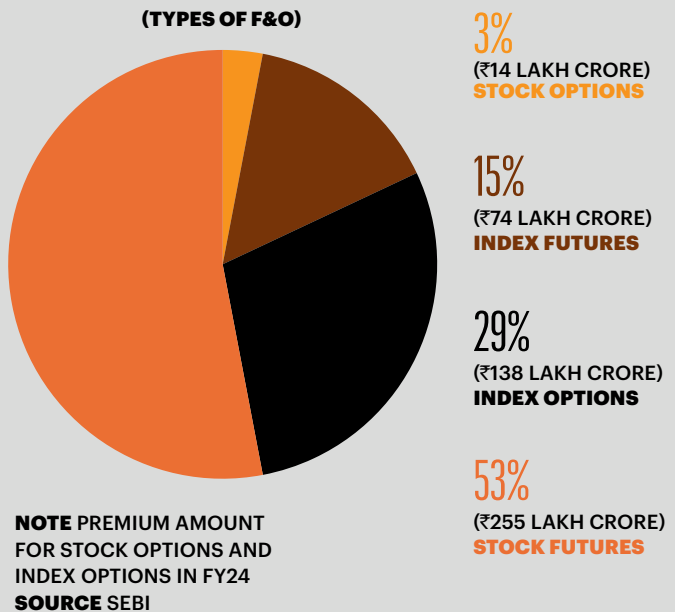
Speculators, mostly youngsters, make a beeline for the risky world of F&Os, lured by the promise of hitting the jackpot. This has led to the F&O market ballooning in recent years, with annual turnover surging from ₹1,695 lakh crore in FY22 to ₹79,927 lakh crore in FY24.

What are F&O contracts? F&Os in the share market are contracts that derive their price from underlying assets such as shares and market indices. The contracts are signed by two parties for trading a stock asset at a predetermined price on a later date. Such contracts try to hedge market risks by locking in the price beforehand. While a futures contract to buy/sell underlying security has to be followed up on the predetermined date at the contractual price, an options contract provides a buyer with a choice to do so, if he/she profits from a trade. An options contract can be of two types: a call contract, and a put contract. Usually, a trader goes in for the put option when they expect the price to decline; traders go

DECODING THE F&O

RIISING INDEX OPTIONS

► Index options are the reason behind high speculation ► Investors display the lowest interest for stock options



in for a call option when they expect prices to go up. An options buyer has the right to enforce the contract while the seller has the obligation to execute it.

For instance, if you buy a weekly Nifty index call option with a lot size of 50 shares, betting that the index will rise from its current level or strike price of 24,000 points to 25,000 points, the seller may offer a premium of just ₹200 per share for this call option. The total cost will be ₹10,000 (50 x ₹200). If the index does not reach the target of 25,000 points by the expiry date (seven days later), you,

THE STORY SO FAR

1993 Sebi bans *badla* system that allows carry forward of derivative positions without taking delivery of stock

2000 NSE launches India's first equity derivatives, starting with index futures

based on the Nifty 50 index; BSE starts with Sensex

2001 NSE introduces trading in index options, stock options, and stock futures

2008 STT reduced from being applied to

